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PRIVI SPECIALITY CHEMICALS LIMITED

INITIATING COVERAGE

Privi Speciality Chemicals Ltd

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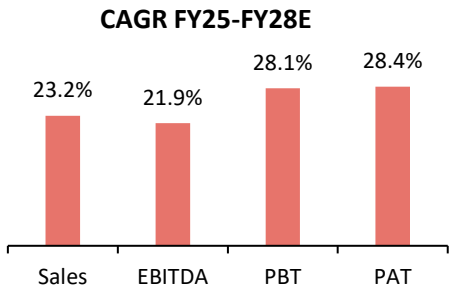
Initiating Coverage

Privi Speciality Chemicals Ltd

Long lasting fragrance, Buy

October 15, 2025

Speciality Chemicals
Sector Outlook - Positive

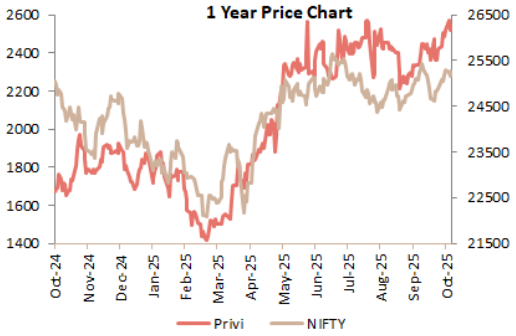


Recommendation	
CMP (₹)	2503
Price Target (₹)	3040
Upside (%)	21%
52 Week H / L ₹	2673/1352
BSE 30	82030

Key Data	
No.of Shares, Mn.	39.1
Mcap, ₹ Mn	97774.0
Mcap,USD Mn @ ₹88.6	1104
2 W Avg Qty (BSE+NSE)	53389

Shareholding, Sep'25	
Promoters	69.9
FII	1.3
DII	4.6
Public & Others	24.2

Performance	1 M	3 M	6 M	12 M
Stock Return %	8.5	5.7	35.9	52.0
Relative Return %	8.4	5.0	27.5	51.2



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Privi Speciality Chemicals Ltd. (PRIVISCL), with over 30 years of expertise, is India's largest manufacturer and exporter of aroma chemicals, supplying to many of the world's leading FMCG companies. Company has a portfolio of 75+ products across multiple categories of Aroma Chemicals and company continues to introduce new products every year to enhance its product basket. Holding a market-leading global share of over 20% across ten key products, PRIVISCL uniquely stands as the only company among emerging economies and one of just four globally to utilize Crude Sulphate Turpentine (CST) as a feedstock, highlighting its specialized technological advantage. The company is on the verge of executing its major capacity expansion from 48,000MT to 54,000MT by Dec 2025, focusing on debottlenecking and scaling production of high-demand, high-margin flagship products. This ₹2.5–3.0 bn capex initiative is designed to capture rising global demand, improve product mix, and sustain robust revenue growth exceeding 20% in FY26 and beyond. PRIVISCL's strategic collaboration with global fragrance leader Givaudan through the PRIGIV joint venture enables the production of 42 advanced aroma chemicals, many sourced from renewable raw materials. The JV has commenced commercial-scale output and is expected to contribute significant revenue and margin growth as it ramps up to full scale in FY27. This partnership deepens PRIVISCL's engagement with international FMCG and fragrance brands, strengthening its hold in premium export markets and providing stability through long-term contracts. Looking ahead, the company targets ₹50.0 bn in revenue and ₹10.0 bn EBITDA within 4–5 years. This growth is supported by a planned ~₹11.0 bn capex over the next three years, largely funded through strong internal accruals and certain bank borrowings, underscoring PRIVISCL's robust financial discipline and confidence in its long-term, innovation-driven growth trajectory. We expect Revenue/EBITDA/PAT to grow at 23%/22%/28% CAGR over FY25-FY28E. We initiate coverage with a Buy rating and a TP of ₹3040 (21% upside) based on 30x FY28E earnings of ₹ 101.4.

Expanding core capacities while launching new products: The Company's growth is propelled by the successful launch of new products Camphor, Galax musk and its variants, Prionyl, Indomerane, Floravone and various Valued Add Products like Terpene-4-ol, 1/8 Cineol, which have already reached about 80% capacity utilization in their first year. Future growth is expected from new products in development—including Furfural, Maltol, Ethyl Maltol, several speciality aroma chemicals and 40+ PRIGIV products. To maintain market share and support expansion, PRIVISCL plans to increase overall capacity from 48,000MT to 54,000MT via process enhancements and debottlenecking, along with boosting backward integration by expanding its CST plant for in-house raw material supply.

Significant backward integration for critical raw material: PRIVISCL's key competitive advantage is its backward integration using CST, a cost-effective pine-based raw material sourced from 60+ pulp mills worldwide. On an average, CST provides a 15–20% cost benefit and price stability through long-term contracts compared to Gum Turpentine Oil (GTO). PRIVISCL is one of only four global companies and the sole Asian player with the complex global supply chain expertise to leverage CST, reinforcing its leadership and cost efficiency in aroma chemicals.

PRIGIV - a JV with Givaudan SA for a Strategic Partnership: PRIVISCL holds a 51% stake in PRIGIV, a strategic JV with Swiss flavor and fragrance leader Givaudan SA (49%), which established a greenfield production facility in Mahad, Maharashtra. Commercial production began in January 2025, with plans to ramp up over 2–3 years. PRIGIV will exclusively manufactures 40+ high-end products for Givaudan, with an estimated project cost of ₹1.78 bn and a peak revenue potential of ~₹1.8 bn, targeting asset turns of 1–1.1x and EBITDA margins above 20%.

Merger of Privi Fine Sciences Pvt. Ltd. (PFSPL) to aid sustainable growth in green chemistry: PFSPL, incorporated in April 2021 to develop specialty aroma chemicals and green chemistry, was initially funded by promoter Mr. Mahesh Babani's personal capital due to green chemistry risks. Now generating its own revenue, PRIVISCL plans a merger with PFSPL to unlock potential and fund capex projects. Post-merger, PFSPL's peak revenue is expected to reach ₹3–3.5 bn within 2–3 years, merger pending approvals from NCLT, SEBI, stock exchanges, and shareholders.

Outlook and Valuation: We believe PRIVISCL has a strong business model supported by complete backward integration in pine-based aroma chemicals, efficiently utilizing by-products to manufacture value-added products, backed by a robust R&D team and a strong customer base. Diversification into value-added products has been a key driver of margin expansion in recent years, and the company continues to focus on expanding its product range. The recently commissioned JV with Givaudan, along with the merger with PFSPL, will improve product mix and operational efficiencies. Additionally, a focus on new product launches is expected to drive future growth. **We expect Revenue/EBITDA/PAT to grow at 23%/22%/28% CAGR over FY25-FY28E. We initiate coverage with a Buy rating and a TP of ₹3040 (21% upside) based on 30x FY28E earnings of ₹ 101.4.**

Key Risks: Supply disturbances of CST, its key raw material, delay in merger of PFSPL, forex risks.

Financials	Revenues	EBIDTA	PAT	A-EPS	P/E	EV/EBIDTA	RoE
	₹ mn	₹ mn	₹ mn	₹	x	x	%
FY24	17,522	3,250	949	24.3	103.0	33.0	10.7%
FY25	21,012	4,535	1,870	47.9	52.3	23.9	18.2%
FY26E	26,657	5,331	2,255	57.7	43.4	20.9	18.5%
FY27E	32,559	6,642	2,928	75.0	33.4	16.9	20.0%
FY28E	39,290	8,212	3,960	101.4	24.7	13.7	22.2%

Source: Company, Sunidhi Research

Table of Contents

Story in Charts 4

Investment Rationale 5

Industry Overview 18

Competitive landscape 21

Key Risks 22

Outlook & Valuation 22

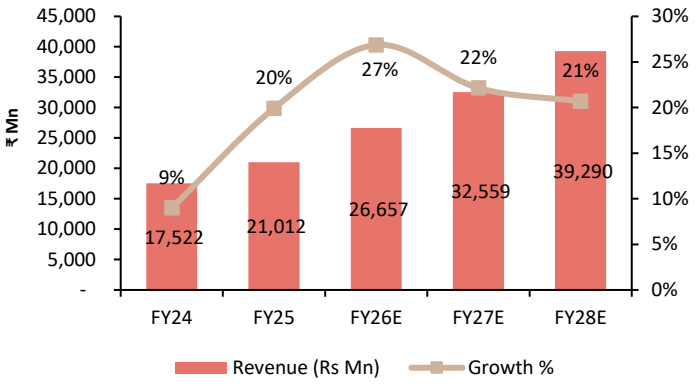
Experienced and qualified board 22

Financial Performance Snapshot 24

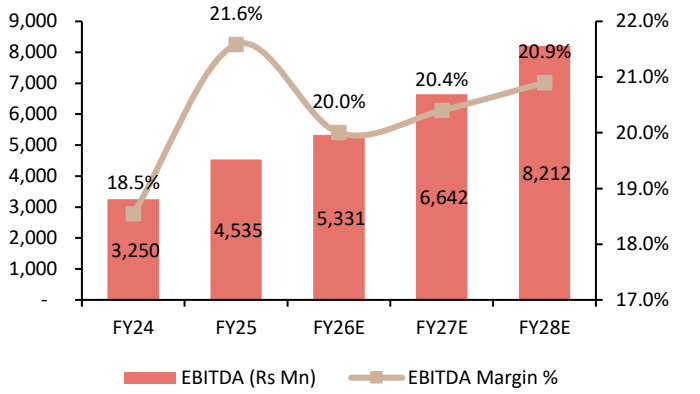
Disclosures and Disclaimer 25

Story in Charts

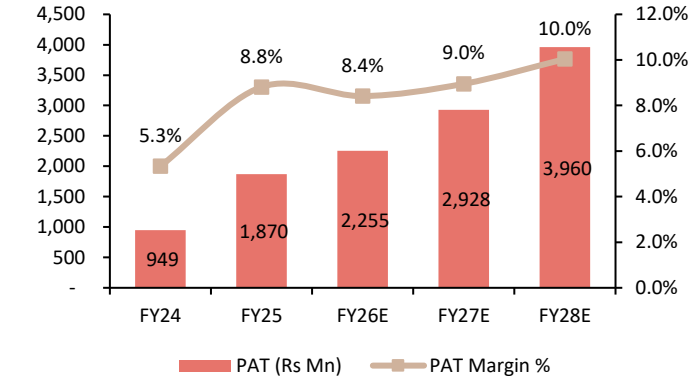
Revenue (in ₹ mn) and growth %



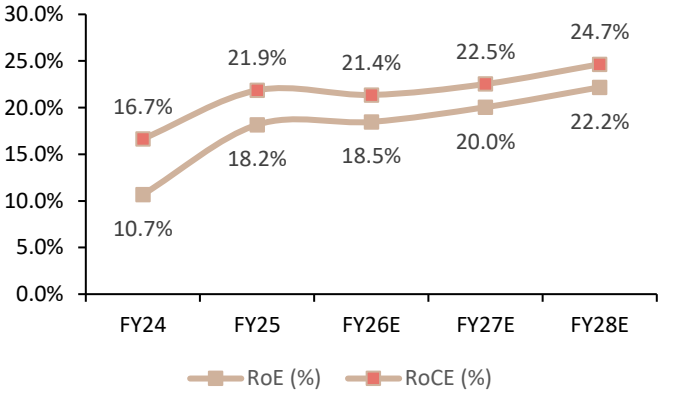
EBITDA (in ₹ mn) and EBITDA margins



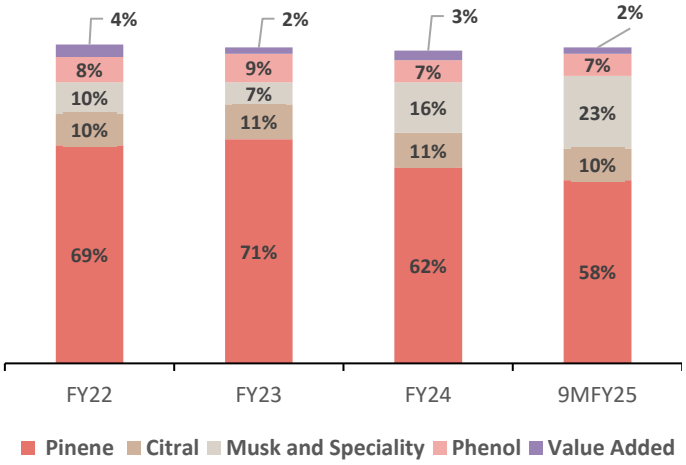
PAT (in ₹ mn) and PAT margins



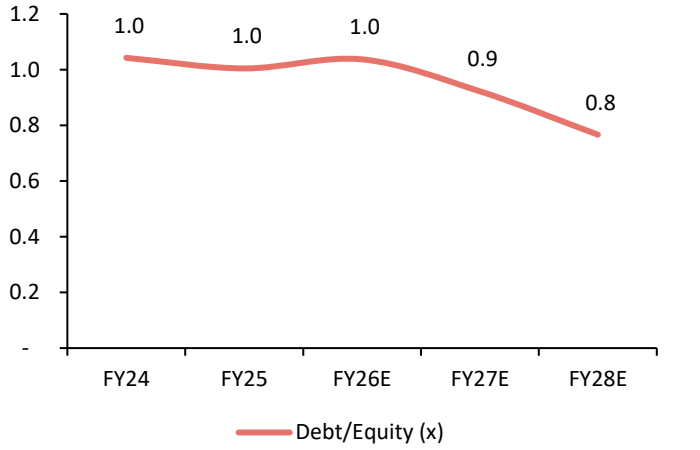
Return Ratios (%)



Segment Revenue Mix (%)



Debt -Equity ratio maintained around 1.0x



Source: Company, Sunidhi Research

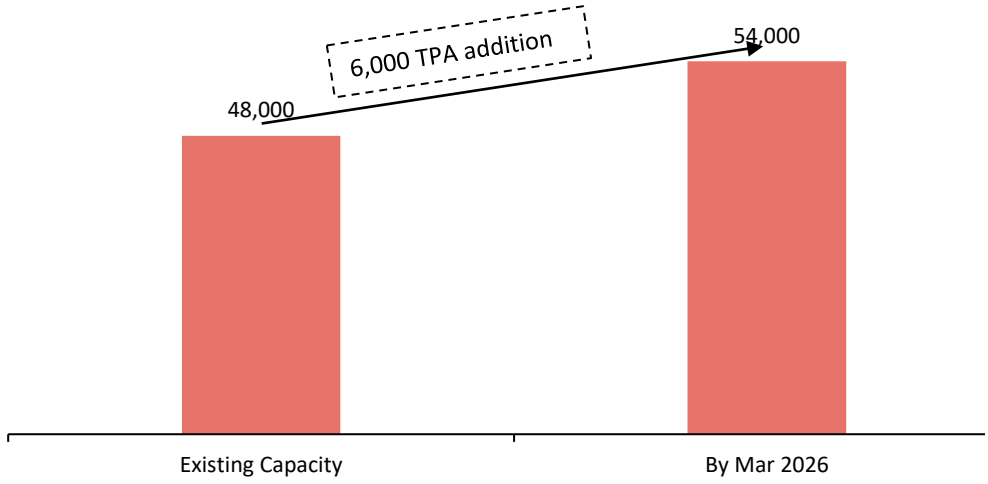
Investment Rationale

Capital Expenditure of ~₹11bn spread over next 3 years on augmenting the capacities from 48k MT to ~54k MT, expanding CST capacity and Privi Fine Science expansion.

Expanding core capacities while launching new products

PRIVISCL is expanding its capacities through process augmentation and de-bottlenecking from 48k MT to 54k MT for both key existing products and new launches. Total capex to be incurred will be ₹ 2.5-3bn which will be funded via mix of internal accruals and debt and is expected to be completed by March 2026. This gives the revenue visibility of ₹35-38bn over the next 3-4 years which collaborates with management target of reaching ₹50bn in next 4-5 years.

Capacity Addition through process augmentation and de bottlenecking (in MT)

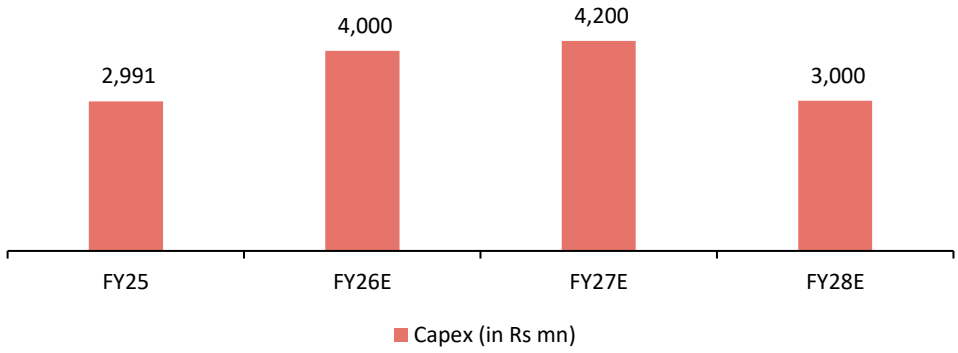


Source: Company, Sunidhi Research

PRIVISCL's capacity expansion will support company's strategy for introducing new products in the product portfolio. On new products, PRIVISCL is in the process of launching two new products that have been developed and are currently in the scale up phase for plant level production. These products are designed for use in fine fragrances and the company expects to launch the same in the year 26-27.

New Products Developed	Products under Development
Camphor	Peppermint Oil
Galax musk	40+ Products under PRIGIV
Prionyl	112 Other High- end Speciality Products under Development
Florovane	
Indomerane	
Amber Woody Xtreme	

Capex to be incurred over FY25-FY28E (₹ Mn)

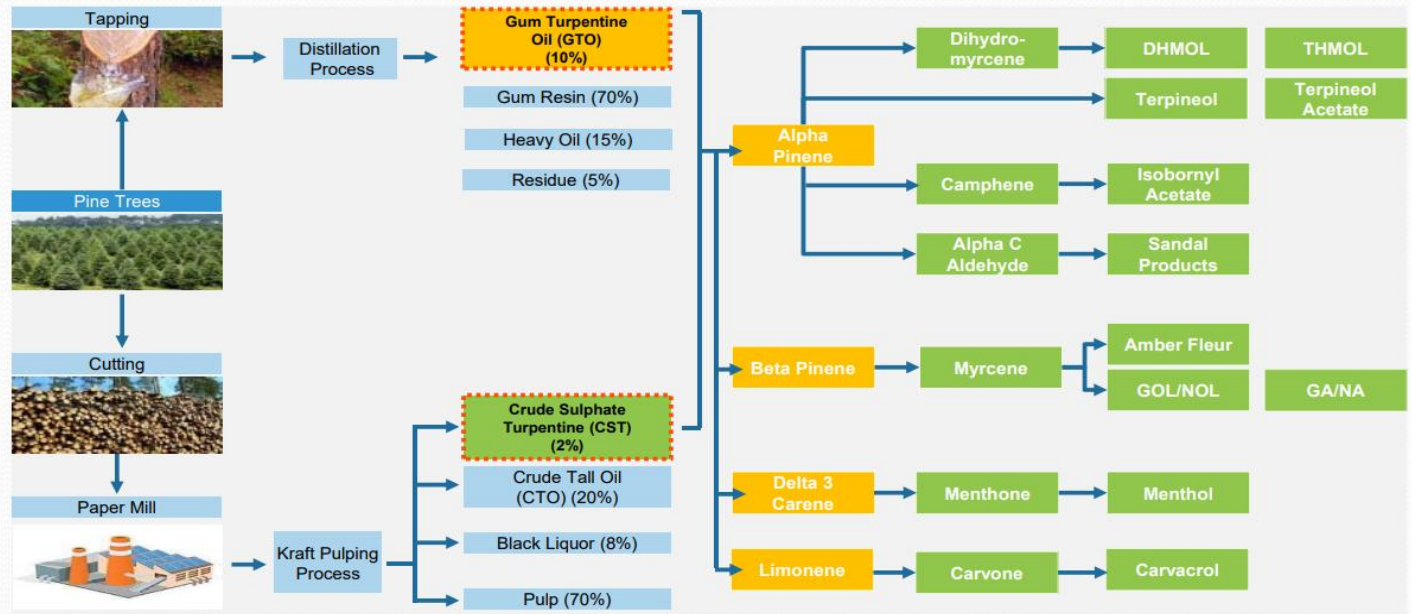


Backward integrated for critical raw material

PRIVISCL's key competitive advantage is its backward integration using CST, a cost-effective pine-based raw material sourced from 60+ pulp mills worldwide. CST provides a 15–20% cost benefit and price stability through long-term contracts compared to Gum Turpentine Oil (GTO). PRIVISCL is one of only four global companies and the sole Asian player with the complex global supply chain expertise to leverage CST, reinforcing its leadership and cost efficiency in aroma chemicals.

PRIVISCL has significant backward integration for critical raw material

Manufacturing process



Source: Company, Sunidhi Research

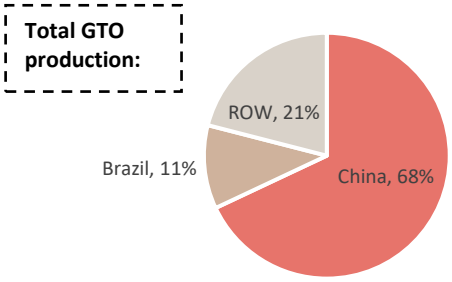
There are two primary routes to obtain the building blocks used in manufacturing pinene-based aroma chemicals:

1. **Tapping pine trees** to extract Gum Turpentine Oil (GTO)

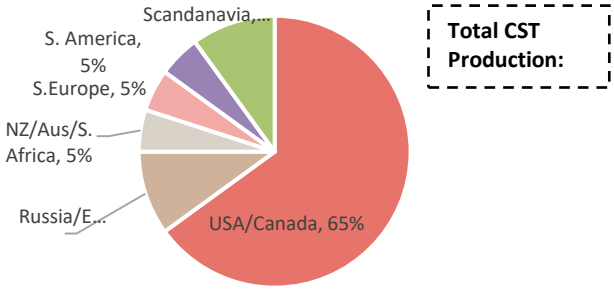
2. **Utilizing Crude Sulphate Turpentine (CST)**, a by-product from the pulp and paper industry.

While GTO prices are highly volatile largely influenced by supply from China, CST offers better pricing stability, with procurement possible through six-month to one-year fixed contracts. However, CST poses processing challenges due to its foul odor caused by sulfur impurities. Leveraging its core chemistry capabilities, PRIVISCL has successfully developed a sulfur separation process and designed a specialized CST refining plant. The company sources CST directly from 60+ mills across Europe and North America. This strategic shift ensures long-term sustainability and cost visibility for raw materials, translating into better pricing control in its competitive B2B aroma chemicals business.

GTO production is dominated by China

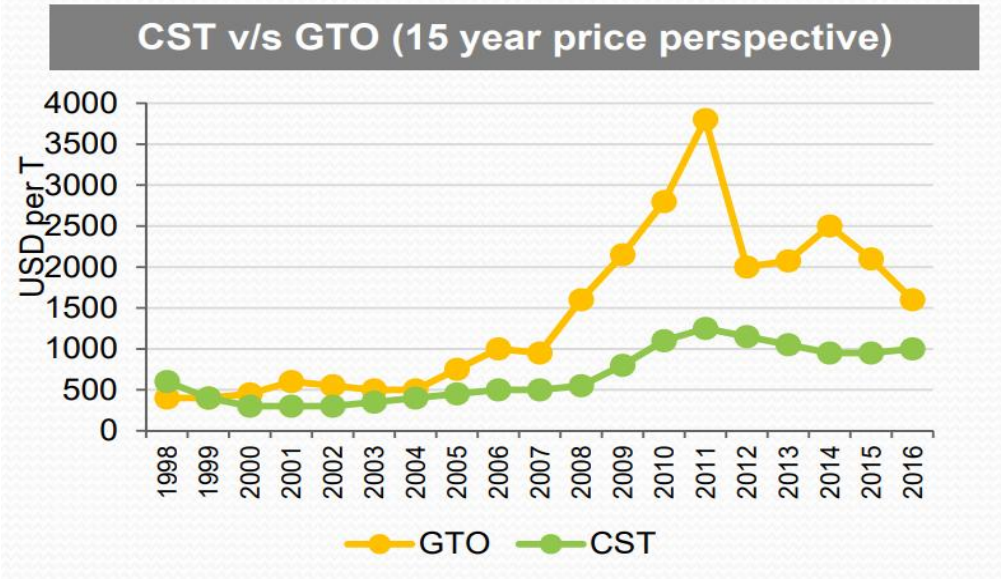


CST a byproduct from pulp and paper industry



Source: Company, Sunidhi Research

Historically GTO has been more volatile



Source: Company, Sunidhi Research

PRIVISCL has established itself as a global market leader in pine-based aroma chemicals, driven by its strategic backward integration and world-class CST refinery. Since the commissioning of its CST refinery in 2016 the largest of its kind globally at a single location, PRIVISCL has become the market leader in at least four key products, including Dihydromyrcenol (DHMOL), Amber Fleur, and Terpineol-Pine Oil.

Among these, DHMOL often referred to as the *"God molecule"* in the fragrance industry—is a critical "freshness" component used in 99% of contemporary perfumes.

PRIVISCL's integrated operations allow it to refine CST and GTO to extract Alpha and Beta Pinene, the fundamental building blocks for all pine-based aroma chemicals. While most competitors depend on spot purchases of GTO or Alpha/Beta Pinene from countries like China, Vietnam, Brazil, and Indonesia—exposing them to high price volatility—PRIVISCL has built a resilient supply chain, directly sourcing CST from 60+ mills across Europe and North America, mostly under long-term contracts.

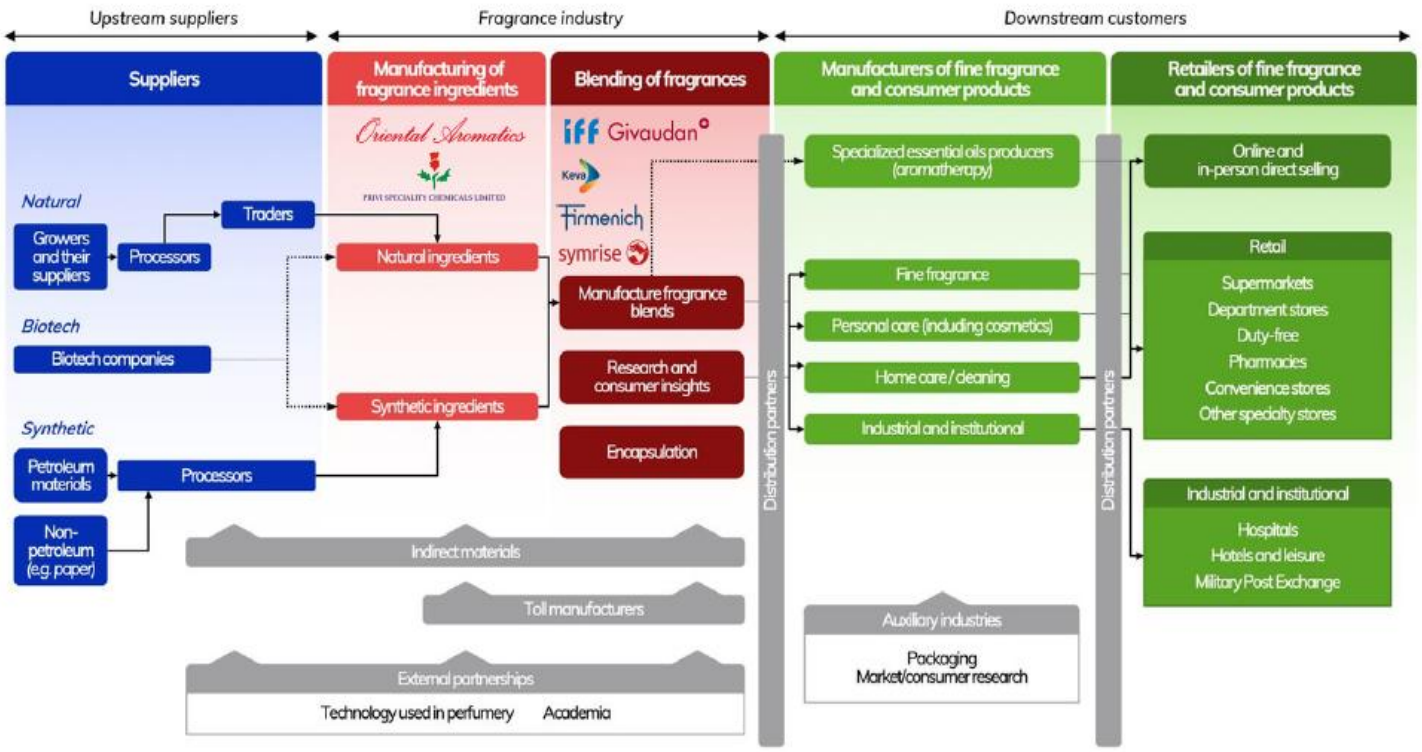
This flexibility to switch between CST and GTO based on cost dynamics makes PRIVISCL the lowest-cost producer in the industry, while enabling stable pricing to its B2B customers—an important differentiator in a competitive global market.

In addition, PRIVISCL has developed proprietary processes to extract more value from Dipentene, a byproduct of CST/GTO distillation, by converting it into additional high-value aroma products.

- Alpha Pinene is used to manufacture DHMOL, Terpinyl Acetate, and sandalwood-based molecules.
- Beta Pinene serves as the precursor for products such as Amber Fleur and Geraniol.

This integrated, cost-efficient, and innovation-driven approach has positioned PRIVISCL as a trusted global partner to leading fragrance and FMCG companies.

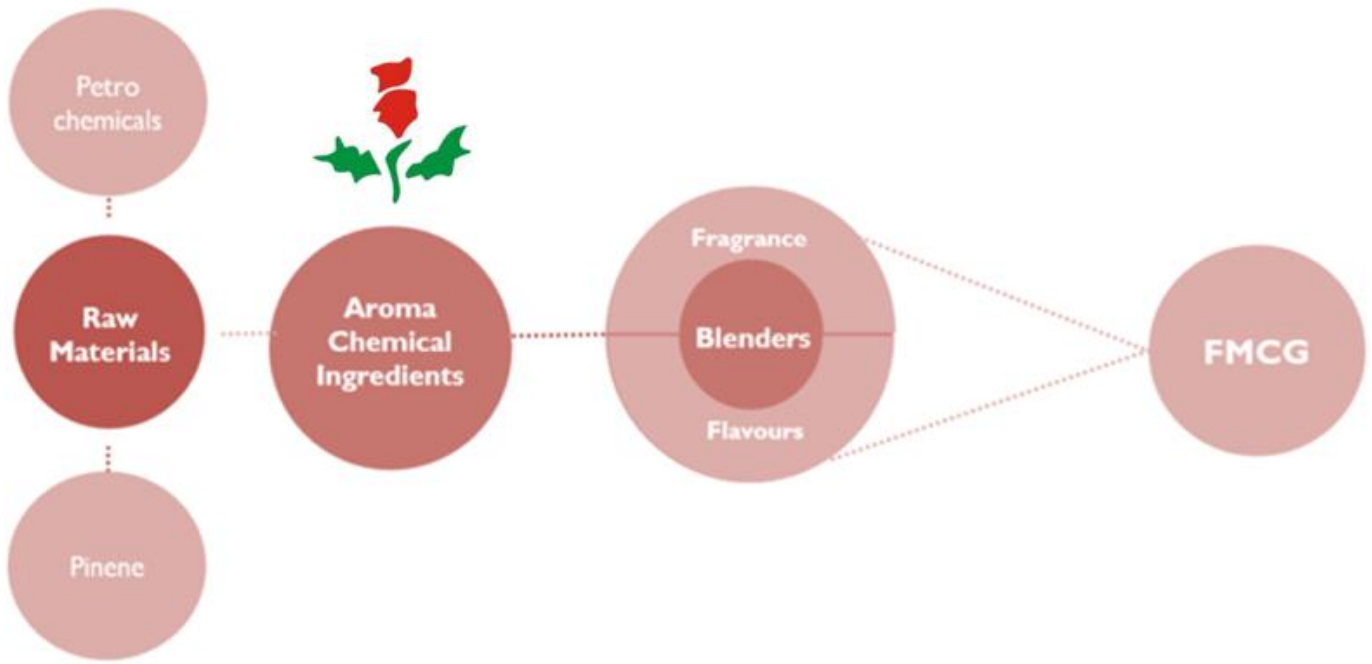
Fragrance Value Chain



Source: Company, Sunidhi Research

- **Upstream suppliers (Suppliers of Raw Materials):** Farmers (Natural ingredients), Petroleum products, Non-Petroleum Products (Synthetic Ingredients)
- **Manufacturers of fragrance Ingredients:** Privi Speciality Chemicals Limited.
- **Blending of fragrances:** Givaudan, IFF, S H Kelkar, Firmenich, Symrise
- **Manufacturer of fine fragrance and consumer products:** FMCG and Personal care brands
- **Retailer of fine fragrance and consumer products:** Super markets, Online and D2C.

Fragrance Value Chain



Source: Company, Sunidhi Research

GTO v/s CST

GTO (Gum Turpentine Oil)	CST (Crude Sulphate Turpentine)
GTO is a natural material derived from distillation of sap extracted from Pine trees	CST or wood turpentine is derived from the kraft process of the paper industry
The GTO has no sulphur content and is further processed to derive alpha and beta pinene along with other terpenes (Di-pentenes)	The CST has high sulphur content resulting in a foul smell, The sulphur extraction process is very niche and only few companies around the world have expertise to perform the chemistry
GTO prices have high volatility and they can on weekly period	CST is a byproduct of paper industry; thus, it is cheaper and prices are less volatile.

Source: Industry. Sunidhi Research

Products developed in last 3 years

Company has commercialized niche value added speciality products in last couple of years catering to high end applications.

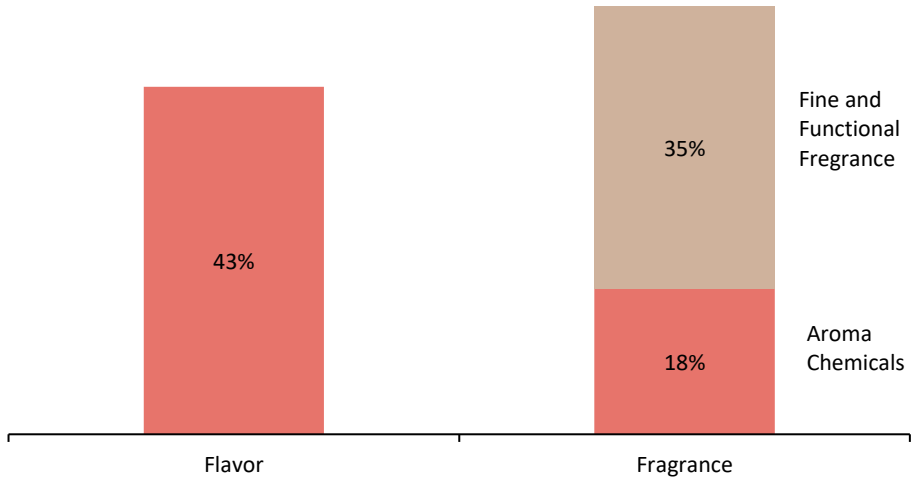
Product Name	Year of Launch	Chemistry	Average Realization* (₹/kg)
Galax musk	2023	Musk &Speciality	~500
Camphor	2023	Pinene	~400
Prionyl	2023	Musk &Speciality	~2,200
Florovane	2025	Musk &Speciality	~800
Indomerane	2025	Musk &Speciality	~4,000
Amber Woody Xtreme	2025	Musk &Speciality	~25,000

**These are indicative prices from Import Export Database, Actual prices may vary based on market factors.*

Outpacing the Industry Growth

PRIVISCL operates in Aroma chemicals (Fragrance Ingredients) market which is a part of Flavors and Fragrance (F&F) Industry. Global F&F market size is ~USD 30.4bn where Fragrance accounts for ~USD 16.1bn (53%) of the total F&F market. Aroma chemicals which form the building blocks of F&F industry has a size of ~USD 5.5bn. As per industry, the Global Aroma chemicals market is expected to grow at an CAGR of ~5.1% from 2023 to 2027E (value based). PRIVISCL, with its leadership in products, is expected to outpace industry growth driven by product diversification, higher share of value-added products and increased percentage of input in final application in finished goods.

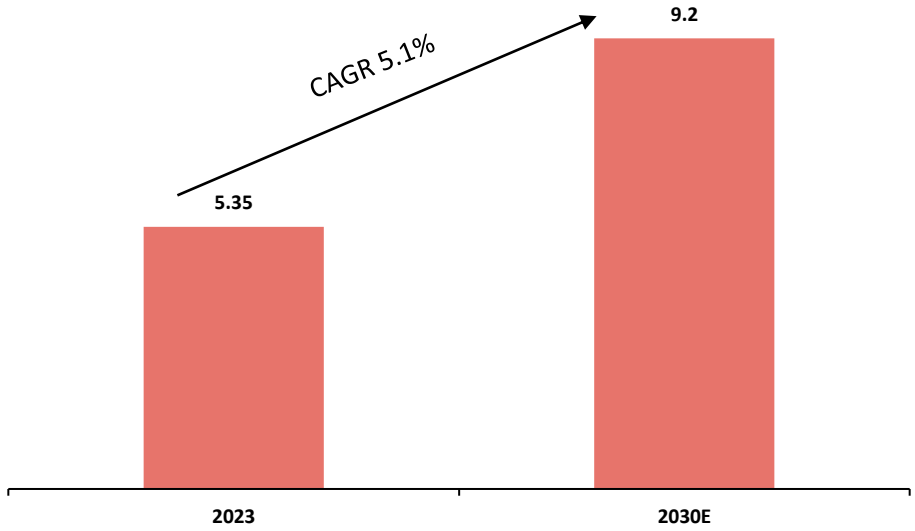
Global Flavors and Fragrance (F&F) market size is about USD 30.4 million. Within F&F, Aroma Chemicals constitute 18%



Source: Company, Sunidhi Research

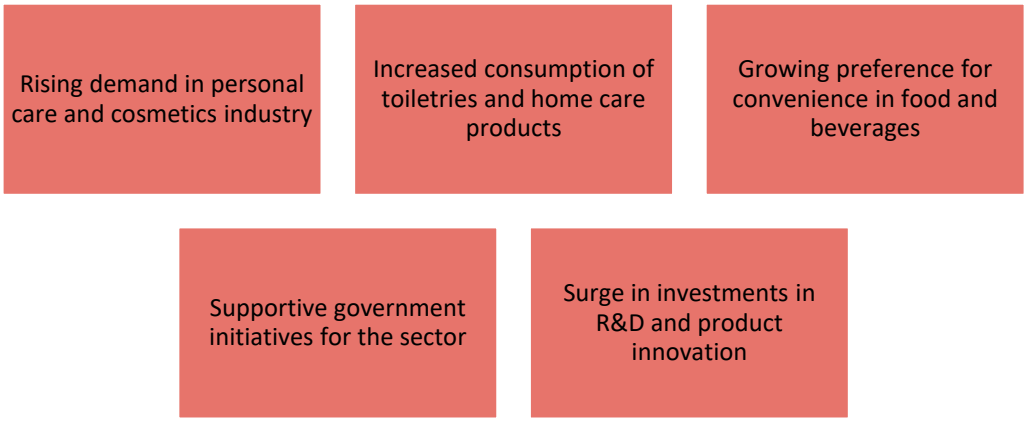
Global Aroma Chemicals market size was valued at USD 5.35bn in 2023 and is projected to reach USD 9.20bn by 2030

PRIVISCL'S Revenue is expected to grow at 23% CAGR over FY25-FY28E, driven by new product addition, value added products and deeper customer penetration.



Source: Company, Sunidhi Research

Market Demand Drivers



Source: Company, Sunidhi Research

PRIGIV- a JV with Givaudan SA for a Strategic Partnership

Overview of the Joint Venture

In July 2021, Swiss fragrance giant Givaudan SA partnered with India's Privi Speciality Chemicals Limited to form a joint venture aimed at bolstering production of specialty fragrance ingredients. The joint venture (named PRIGIV) was formed to set up a new greenfield production facility in Mahad, Maharashtra.

Strategic design & equity structure

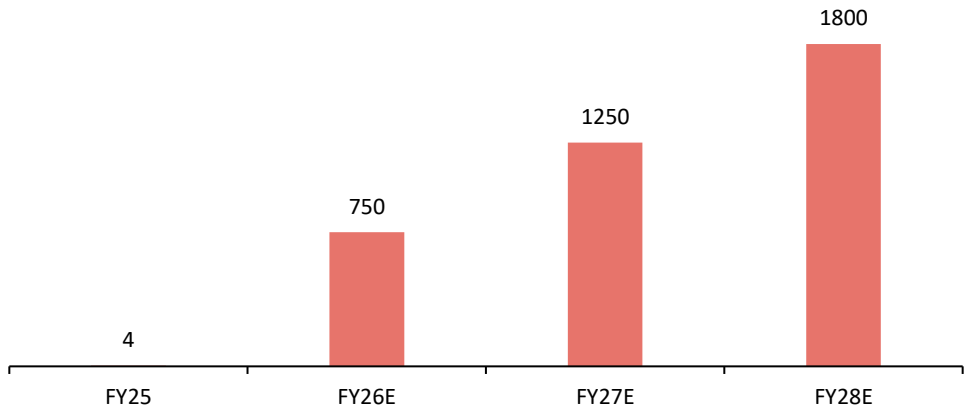
- PRIVISCL holds a 51% stake, with Givaudan owning 49%
- The JV features a greenfield production facility focused on small-to-mid volume, medium-to-high complexity fragrance molecules
- Total investment is ~ ₹1.78bn, funded by equity capital of ₹ 350mn (₹180mn PRIVISCL and ₹170mn Givaudan) and loans from Givaudan of ₹ 2.3bn for fixed asset and working capital.

Commercial launch & capacity expansion

- Commercial Production at the Mahad site began in January 2025, with plans to steadily ramp up production over 2-3 years.
- The facility will produce a wide range of value-added, small-volume fragrance ingredients, originally made at Givaudan's Vernier, Switzerland site.
- Initially JV is targeting 40 specialty molecules, targeting further expansion to cover Givaudan's broader portfolio.
- Peak revenue potential from this JV is ~₹ 1.8 bn implying asset turns of ~1.0x with EBITDA margins of 20%+.

About Givaudan: Givaudan SA is a Swiss multinational company and the global leader in the creation of flavors, fragrances, and active cosmetic ingredients. Headquartered in Vernier, Switzerland, Givaudan serves a wide range of industries including food and beverage, personal care, household products, and fine fragrances. With a rich heritage dating back to 1895, the company is known for its strong innovation capabilities, sustainability initiatives, and close collaboration with customers to develop tailor-made sensory experiences. Givaudan operates globally with manufacturing sites, creative centers, and research hubs across more than 50 countries.

PRIGIV JV Revenue to accelerate from FY27 (₹ Mn)



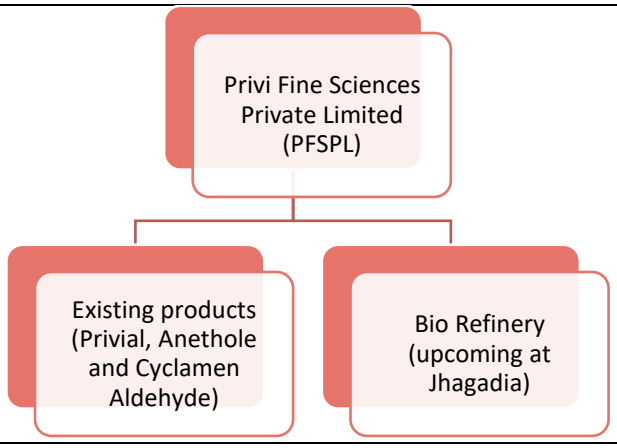
Source: Company, Sunidhi Research

Merger of Privi Fine Sciences Pvt. Ltd. (PFSPL) to add green chemistry

Established in 2021, Privi Fine Sciences Private Limited (PFSPL), is engaged in the development and manufacturing of specialty chemicals including aroma chemicals primarily derived from **renewable feedstocks**. Recognizing the risks associated with green chemistry innovation, promoter Mr. Mahesh Babani strategically chose to incubate this venture under a separate entity. PFSPL is developing several proprietary technologies, many of which are in the process of being patented.

PFSPL operates two manufacturing facilities: one at Lote MIDC, Maharashtra a turnaround project funded through Mr. Babani's personal investment and another at Jhagadia GIDC, Gujarat. With the Lote unit now operational, Privi Speciality Chemicals Ltd is in process of merging it to consolidate operations and scale high-potential products like **Privial, Anethole, and Cyclamen Aldehyde.**

The Jhagadia facility is designed for producing green specialty chemicals such as Furfural and Cyclopentanone, using corn cobs and ethanol from corn kernels, thereby enabling holistic utilization of corn. A substantial 39.7-acre land parcel has been acquired for this integrated bio-based project, positioning PFSPL at the forefront of sustainable chemical manufacturing in India.

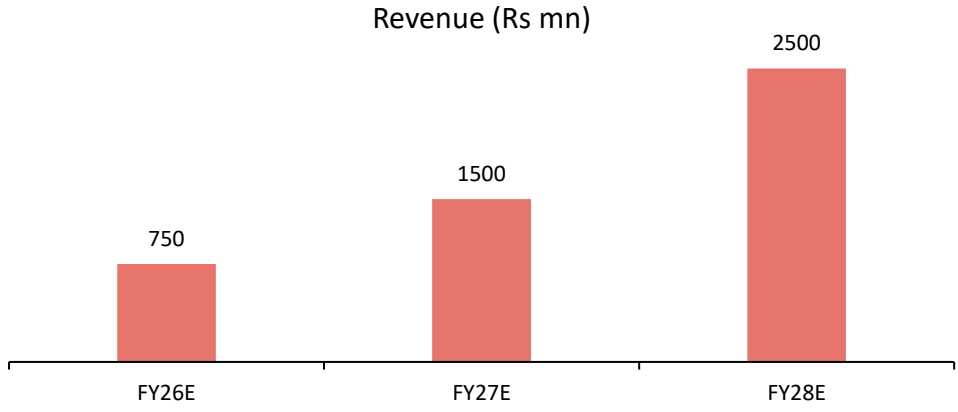


Source: Company Presentation, Sunidhi Research

Biorefinery developed in Privi Fine Science Private Limted

Source: Company Presentation, Sunidhi Research

Privi Fine Science Pvt. Ltd - post-merger Revenue to start accounting from FY26

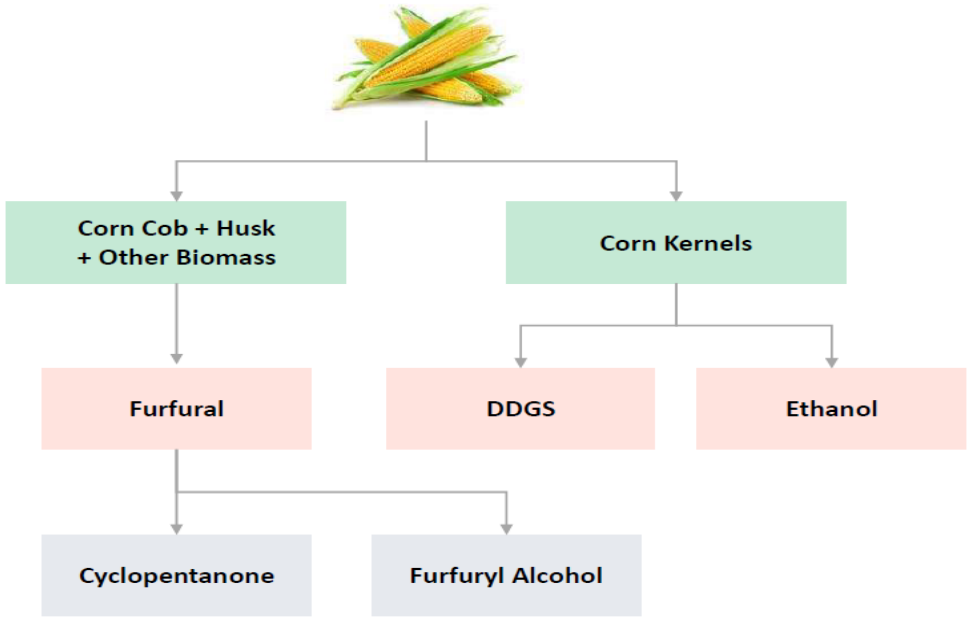


Source: Company, Sunidhi Research

Upcoming Product from PFSPL at Jhagadia site: Bio refinery

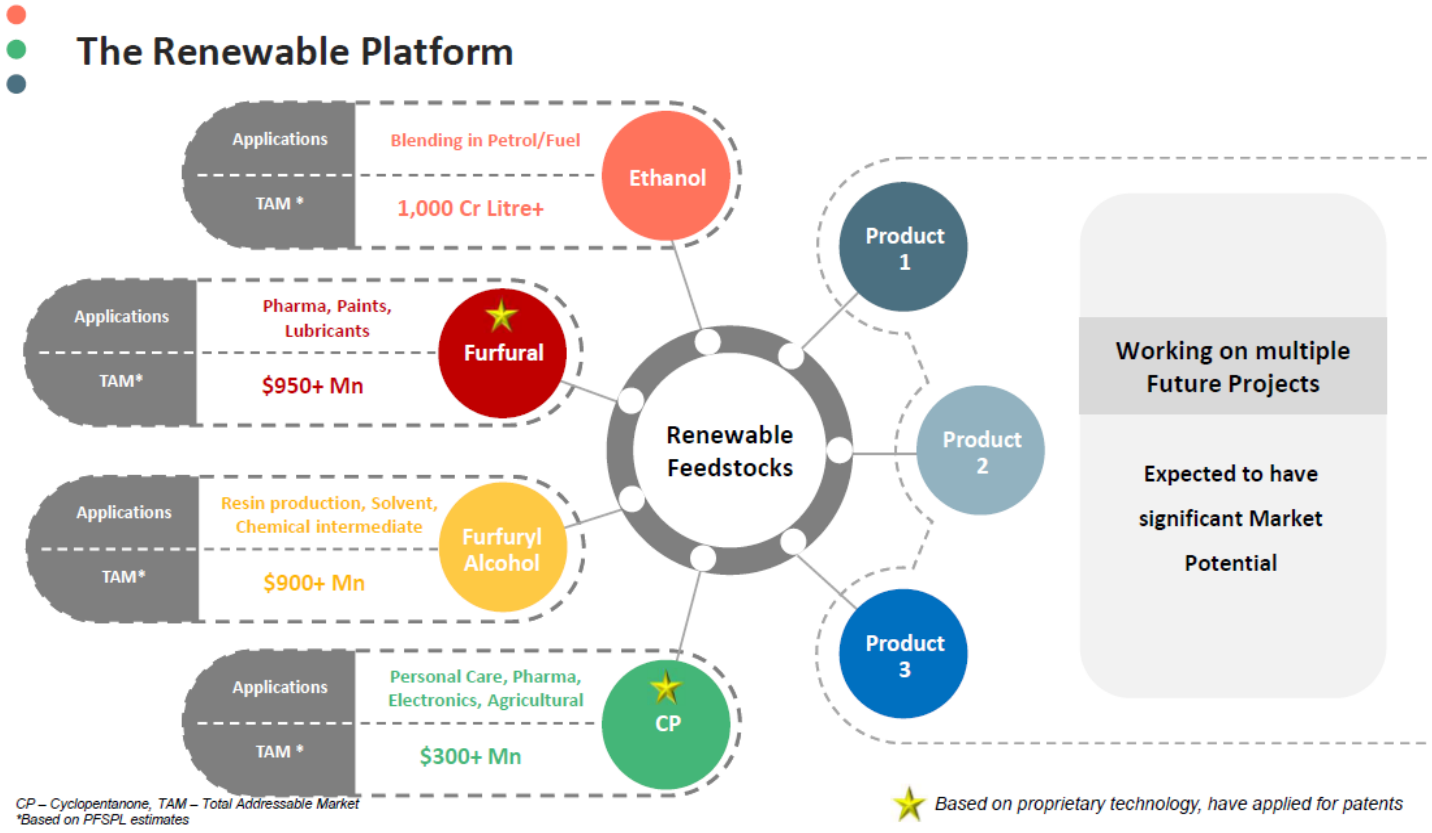
PFSPL has conceptualized a fully integrated project that will use the whole corn kernel as well as corn cob. While kernel is used by others to manufacture Ethanol, PFSPL will use the Cob which will be converted into Furfural and its derivatives like Furfuryl Alcohol and Cyclopentanone thus deriving substantial value addition. Further value-added products are being conceptualized which are expected to have significant growth potential and increased value realization as the company moves downstream in value chain. This is expected to be one of the first few facilities to utilize entire corn to derive substantial economic benefits. Lot of corn-based ethanol plants are coming in Gujarat which would provide good sourcing for corn cobs. Further, the Company is working at Pilot scale to develop downstream products like Furfural, ferulic acid and further downstream into bio-vanillin's, from corn cob.

Corn cob value chain-



Source: Company Presentation, Sunidhi Research

Market Size for Upcoming products under PFSPL



Source: Company Presentation, Sunidhi Research

Company Overview

Founded by Mr. Mahesh Babani, Privi Speciality Chemicals Ltd (PRIVISCL) is a leading Indian manufacturer and global exporter of aroma and specialty chemicals, primarily used in the flavors & fragrance (F&F), personal care, home care, and FMCG industries. With over three decades of experience, the company has built a strong portfolio of more than 75 aroma molecules, including key products like Dihydromyrcenol, Amber Fleur, and Citral, which are used in everyday consumer products globally.

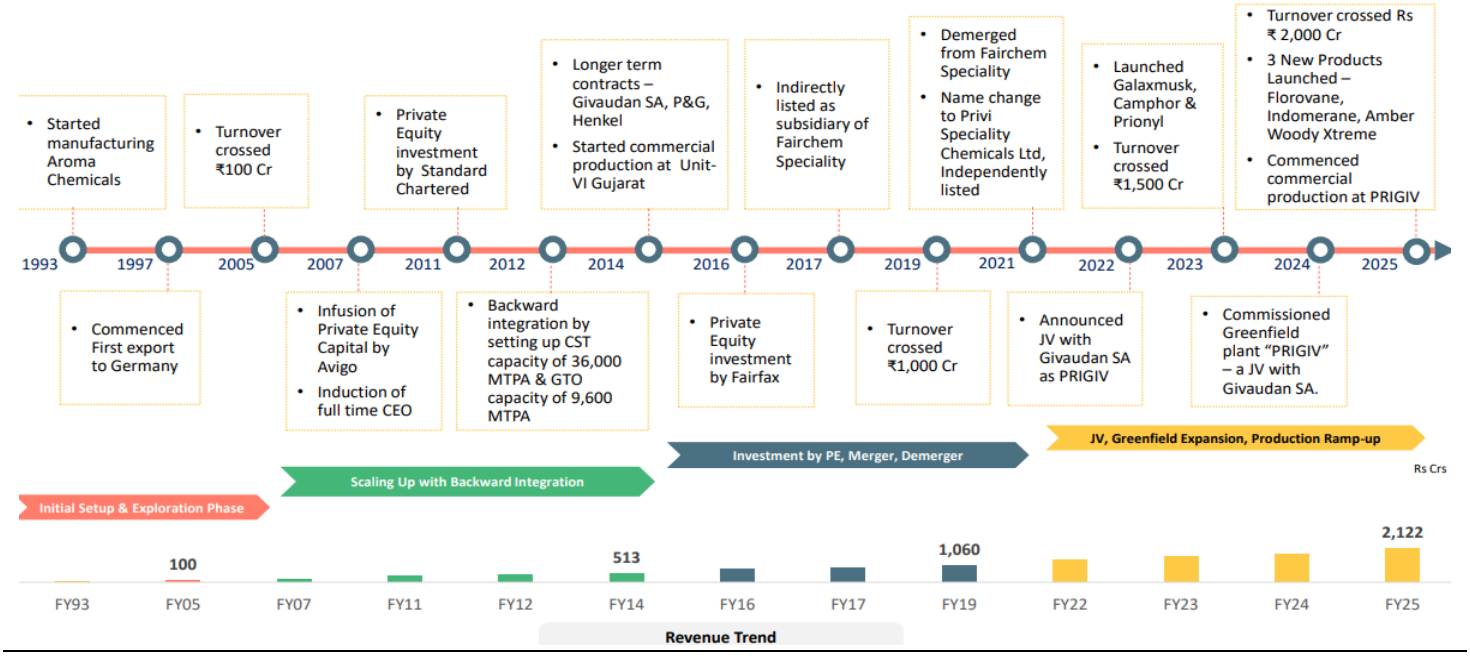
PRIVISCL commands a >20% global market share in at least ten of its key products, with exports contributing significantly to its revenues. The company is a trusted supplier to the world's largest F&F blenders and multinational consumer goods companies, supported by long-term relationships and a reputation for quality, consistency, and innovation.

A core strength of PRIVISCL lies in its backward integration and raw material security. It is among the very few companies globally—and the only one in Asia—that uses Crude Sulphate Turpentine (CST), a by-product from the pulp and paper industry, as a key feedstock. CST offers a 15–20% cost advantage over alternatives like Gum Turpentine Oil (GTO) and ensures long-term supply stability through strategic sourcing from 30 pulp mills across the world.

PRIVISCL operates manufacturing facilities in Mahad and Jhagadia (India), with a strong emphasis on green chemistry, process innovation, and sustainability. The company invests heavily in R&D, led by a team of scientists and engineers focused on developing eco-friendly and high-performance molecules, including renewable aroma chemicals and novel downstream derivatives.

Through strategic expansions and partnerships—such as its joint venture with Givaudan SA and initiatives under Privi Fine Sciences—the company is also entering new high-growth verticals like bio-based specialty chemicals, musk compounds, pelargonic acid, and azelaic acid. With a sharp focus on sustainability, value-added innovation, and global competitiveness, Privi Speciality Chemicals is well-positioned to lead India's emergence as a key player in the global aroma and specialty chemicals value chain.

PRIVISCL Historical Timeline



Source: Company, Sunidhi Research

Key Product Offerings and Revenue share (%): 70+ Products across Multiple Categories of Aroma Chemicals

Pinene

- Dihydromyrcenol
- Amber Fleur
- Terpineol
- Terpineol Acetate
- Pine Oil
- Iso Bornyl Acetate (IBA)
- IBCH
- Iso Borneol
- Camphor
- Sandal Fleur
- Indian Sandal Core
- Paracymene

62%

Citral

- Cyclocitral
- Citronellal
- Citronellol
- Citronellyl Nitrile
- Alpha Ionone

11%

Musk & Speciality

- Galaxmusk
- Prionyl
- Timber Touch
- Timber Forte
- Nimberol
- Alpha Damascone
- Florovane
- Indomerane
- Amber Woody Xtreme

16%

Phenol

- Ortho Tertiary Butyl Cyclo Hexyl Acetate
- Para Tertiary Butyl Cyclo Hexyl Acetate

8%

Value Added

- 1, 8 Cineol
- 1,4 Cineol
- Limonene 95
- Terpinen-4-ol

3%

Above mentioned revenue mix are as of FY24 on consolidated basis

Source: Company, Sunidhi Research

Diversified Customer Base

Preferred Supplier to

World's 15 largest fragrance companies which control nearly 80% of the global fragrance market

World's leading MNC & FMCG companies

International Fragrance Companies

Givaudan, Firmenich, iff, Takasago, symrise, Mane, Robertet, drom Fragrances, Lucta, iberchem, EFF, MC International Fragrance Company, eurofragance, T. Hasegawa USA Inc., Fridal

Indian Fragrance Companies

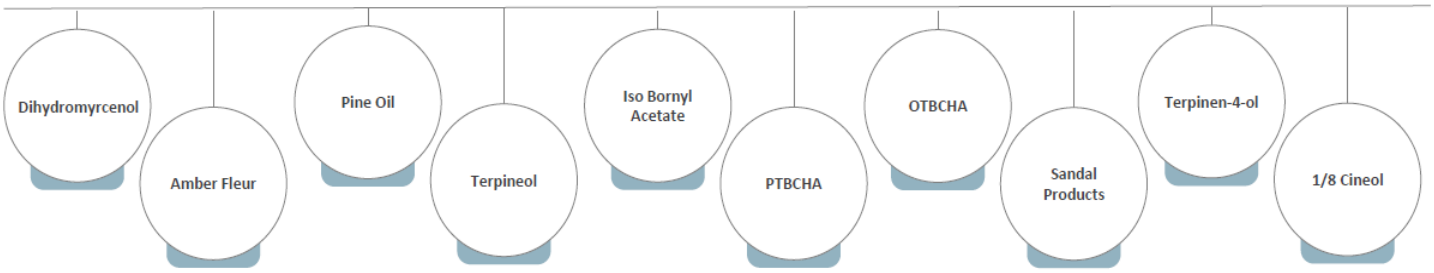
Keva, Oriental Aromatics, Arochem, MDPH, Ultra International, Gogia Fragrances, Rakesh Sandal, Sacheerome, Affarom, Khattri, SUGANDHCO

FMCG & Other MNCs

P&G, Reckitt Benckiser, Henkel, AkzoNobel, BASF We create chemistry

Source: Company, Sunidhi Research

Products with Global Market Share of more than 20%



Source: Company, Sunidhi Research

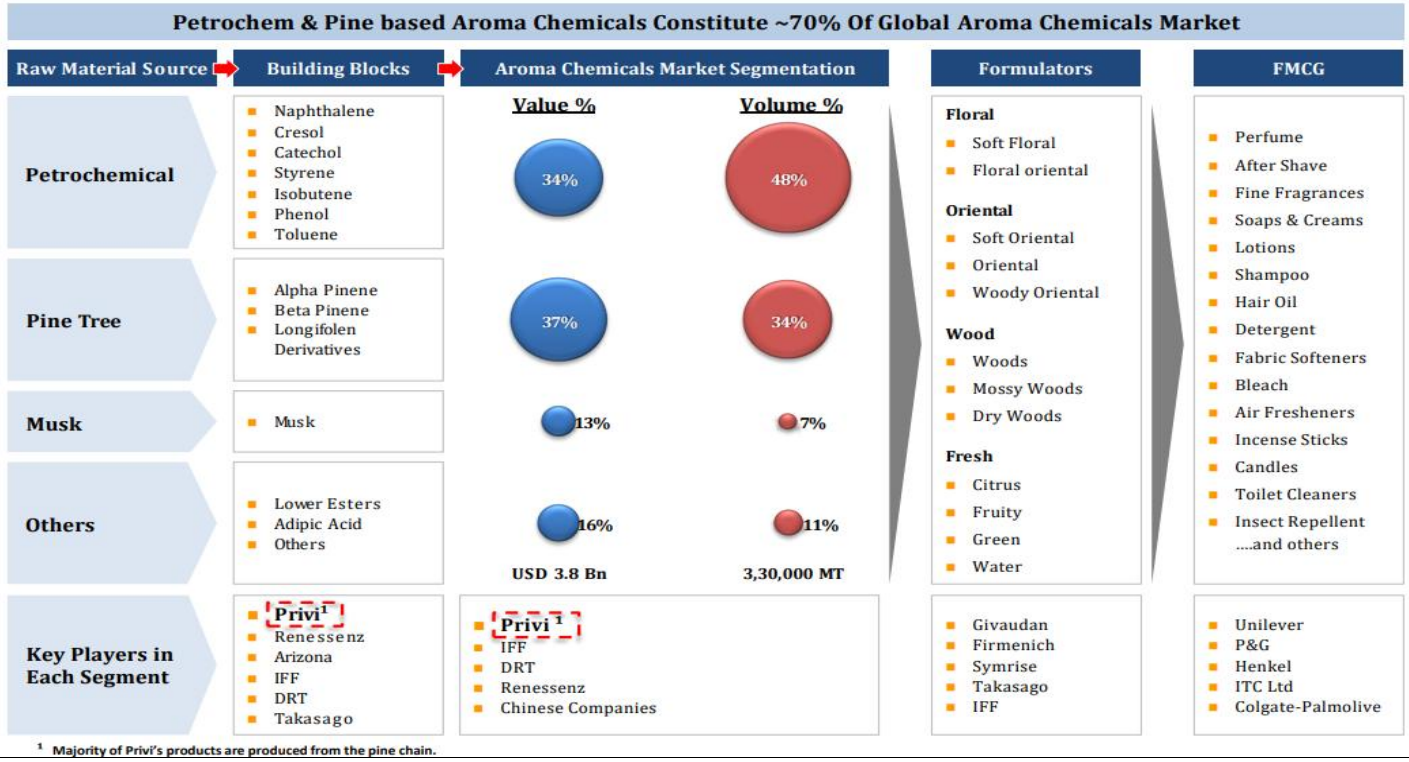
State Of Art Manufacturing Facilities

PRIVISCL has 2 state-of-the-art backward integrated manufacturing facilities located in Mahad, Maharashtra, and Jhagadia, Gujarat with a total manufacturing capacity of 48,000 tons per annum. These plants are strategically located near JNPT Port & Ankleshwar Dry Port enabling easy access to export. These facilities are equipped with advanced Crude Sulphate Turpentine (CST) and Gum Turpentine Oil (GTO) technologies, enabling PRIVISCL to perform critical reactions and produce pine-based aroma chemicals efficiently. This makes PRIVISCL unique as the only Company in the emerging economies, and one of just four globally, capable of leveraging these technologies to transform waste products into valuable aroma chemicals.

Plant Details		
Location	**Mahad, Maharashtra**	**Jhagadia, Gujarat**
No. of units	**6**	**1**
Major Products	Amber Fleur	OTBCHA
	Dihydromyrcenol	PTBCHA
	Camphor	Galaxmusk
	Prionyl	Florovane
	Citral	Indomerane
	Speciality	
	Pine oil & Terpinoel	

Source: Company, Sunidhi Research

Aroma Chemicals value Chain



Source: Company, Sunidhi Research

Industry Overview

Global Flavors & Fragrances (F&F) Market

The global Flavors & Fragrances (F&F) market encompasses a wide spectrum of products including flavorings, fragrances, and essential oils, which cater to diverse industries such as food and beverages, personal care, home care, and pharmaceuticals. The market is typically segmented by product type natural and synthetic as well as by application areas such as beverages, bakery, confectionery, cosmetics, personal care, household care, and pharmaceuticals.

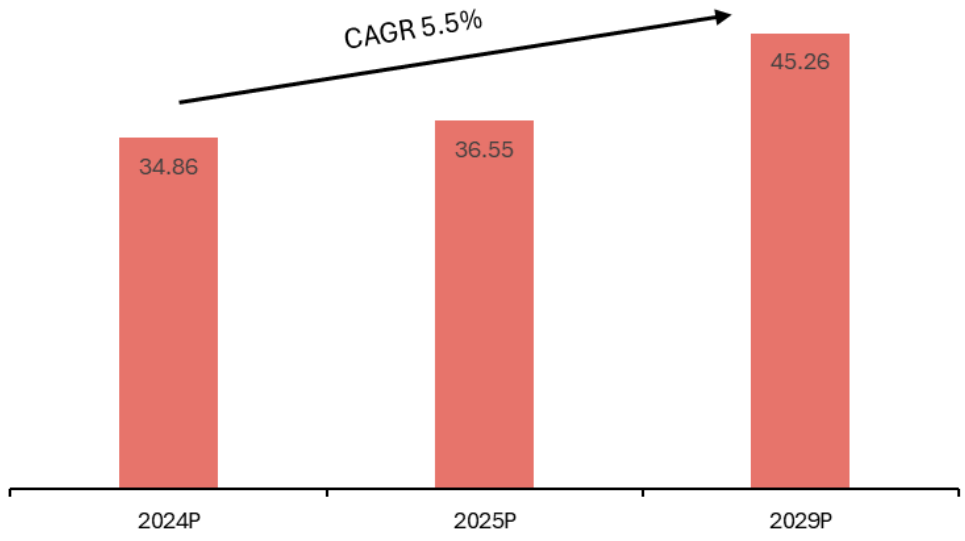
A key trend in reshaping the industry is the growing demand for personalized products, clean-label formulations, and plant-based alternatives. This consumer shift is accelerating innovation and product differentiation across sectors.

Emerging markets, particularly in Asia-Pacific and Latin America, are witnessing strong growth momentum driven by rising disposable incomes and shifting lifestyle preferences. Overall, the F&F industry is undergoing a dynamic transformation, propelled by evolving consumer expectations and heightened focus on health, wellness, and sustainability.

Valued at approximately USD 36.55 billion in 2025, the market is projected to grow at a compound annual growth rate (CAGR) of 4.9%, reaching nearly USD 44.2 billion by 2029. Modern consumers increasingly seek multisensory experiences that engage beyond basic functionality, prompting companies to develop distinctive, sustainable, and health-conscious solutions that resonate with current trends.

In 2024, the industry made notable strides in adopting natural and organic ingredients, personalizing scents, and exploring novel flavor profiles. This momentum is expected to accelerate further from 2025 onwards, supporting continued market expansion.

Flavor and Fragrance Global Market ($bn)



Source: Company, Sunidhi Research

Segmentation of the industry

The F&F industry is divided into two main segments: Flavors, which account for 43% of the market, and Fragrances, representing 57%.

Within the Flavor Segment:

Beverages dominate this category, with growing demand for flavored water, functional drinks, and ready-to-drink options. Dairy, bakery, and confectionery are also significant contributors, as consumers seek innovative, clean label, and healthier flavor profiles across these categories.

Within the Fragrance Segment:

Fine and functional fragrances hold the largest share at 35%, driven by the rising demand for perfumes, personal care products, and homecare solutions.

Aroma chemicals account for 18%, playing a crucial role in fragrance formulation by providing unique and long-lasting scent compounds.

Indian fragrance market

India boasts a rich olfactory heritage rooted in traditions like Ayurveda, aromatherapy, incense, and ittar (natural perfume). Aromatic herbs and essential oils have long been used for healing, beauty, and spiritual well-being. This deep cultural foundation has laid the groundwork for a vibrant and fast-evolving modern fragrance market.

In 2024, the Indian fragrances market was valued at USD 1,000.8 million and is projected to grow at a robust CAGR of 13.9% between 2025 and 2033, reaching USD 3,233.9 million by 2033, according to the IMARC Group. This expansion is driven by rising disposable incomes, a growing and aspirational middle class, increasing brand consciousness, and the affordability of mass-market perfumes and deodorants.

Moreover, India's vast biodiversity across 15 geo-climatic zones makes it a key global supplier of organic fragrant raw materials, unlocking significant potential for both domestic growth and international trade.

Global Aroma Chemicals Market

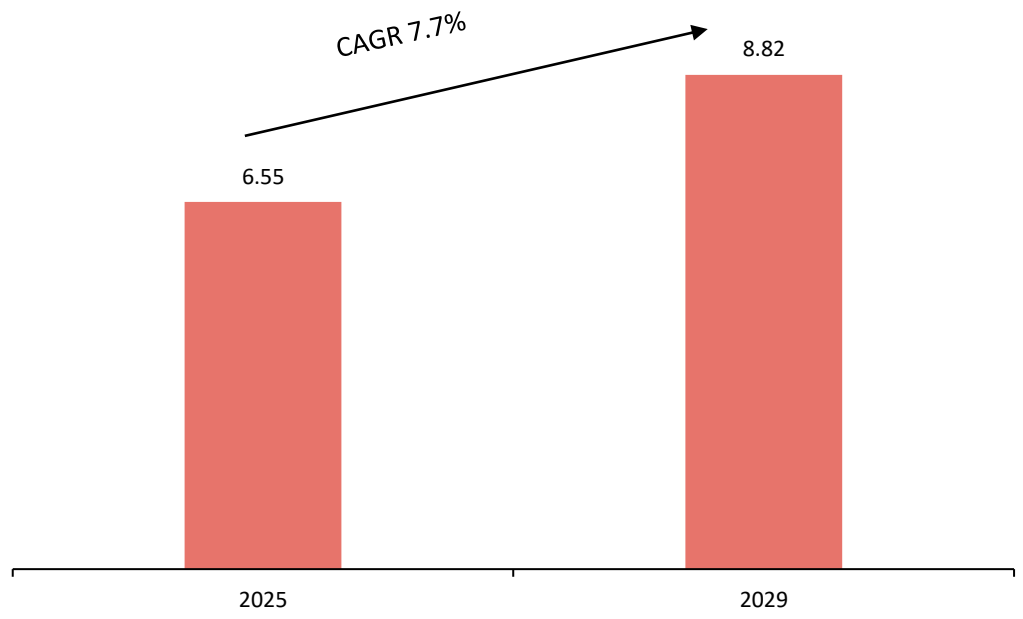
The global aroma chemicals market is experiencing robust growth, with its value projected to rise from USD 6.55 billion in 2025 to USD 8.82 billion by 2029, reflecting a strong CAGR of 7.7%. This expansion is fueled by shifting consumer preferences, technological innovation, and the increasing adoption of sustainable and green chemistry practices.

The market is gaining traction from the rising demand for home fragrances, growing consumption of cosmetics, personal care, bakery, and confectionery products, and heightened consumer awareness regarding product safety and transparency. The rise in disposable incomes across emerging economies further supports this momentum.

Key industry trends shaping the market include:

- A clear shift toward natural and biodegradable aroma chemicals.
- Customization of fragrances to suit regional and cultural preferences.
- Advancements in olfactory science and microencapsulation technologies, enabling better product performance and longevity.
- Increased focus on multifunctional aroma solutions that combine scent with added benefits (e.g., antimicrobial or mood-enhancing properties).
- Strong emphasis on sustainable sourcing and eco-friendly formulations, aligning with broader environmental and ESG goals.

Projected Market Size of Aroma Chemicals market (USD billion)



Source: Company, Sunidhi Research

Indian Aroma Chemicals Market

India's aroma chemicals market is witnessing steady growth, driven by the expansion of the domestic fragrance industry and a surge in consumer demand for personalized and niche scents. The market is projected to reach USD 460.4 million by 2033, growing at a CAGR of 5.22% between 2025 and 2033.

This growth is fueled by a shift in consumer preferences toward customized fragrance experiences and natural ingredients. Aroma chemicals are increasingly being used across sectors—from personal care and home hygiene to food & beverages and wellness—reflecting their broadening application base.

Key demand drivers include:

- **Aromatherapy and wellness:** The rising focus on mental and emotional well-being is spurring the use of aroma chemicals in therapeutic products.
- **Food and beverage innovation:** The need for unique flavor profiles is boosting demand for specialized aroma compounds.
- **Hygiene awareness:** Heightened focus on cleanliness and sensory-rich cleaning products is expanding usage in household care and toiletries.
- **Sustainable practices:** There is growing interest in plant-based ingredients and eco-friendly extraction techniques such as supercritical fluid and microwave-assisted methods, aligning with clean-label and sustainability trends.

Key Region and Segment Dominating the Market

The Southern region of India, especially Tamil Nadu and Kerala, drives the aroma chemicals market. Major manufacturers and a strong industrial base support this leadership. The region's robust infrastructure and deep expertise in fragrance and flavors production further strengthen its position.

Cosmetics and toiletries represent the largest application segment, primarily driven by the rising use of aroma chemicals in skincare, hair care, and perfumes. Furthermore, the growing demand for premium personal care products, along with evolving consumer preferences, continues to accelerate growth in this segment.

Competitive landscape

Privi Speciality Chemicals uses CST as raw material to manufacture pinene based aroma chemicals. CST prices are relatively stable as compared to GTO which have inherently high volatility due to shortages and dependence on China. Hence PRIVISCL is able to maintain margins in excess of 20% while other players like Oriental Aromatics who use GTO and hence have very volatile margins profile.

Peer Valuation (based on FY25)

Particulars (In ₹ mn)	Revenue	EBITDA	EBITDA%	PAT	PAT%	Mkt Cap*	CMP (₹)*	P/E (x)	EV/EBITDA (x)	ROE (%)	ROCE (%)
Privi Speciality Chemical	21,010	4,540	22%	1,850	9%	97,774	2,503	52.3	23.9	18.2%	21.9%
Oriental Aromatics	9,280	930	10%	340	4%	11,020	327	32.1	15.8	5.3%	7.9%
Mangalam Organics	5,300	590	11%	130	3%	4,330	506	34.4	12.9	4%	7%
Kanchi Karpooram	1,520	190	12%	140	9%	1,750	403	12.3	5.9	7%	9%
Gem Aromatics	504	88	18%	53	10.5%	12,170	234	22.8	16.0	20.7%	19.4%

*Source: Company, NSE, Sunidhi Research, *CMP and Mkt Cap as on 14th October 2025.*

Key Risks

1. Execution risk
2. Supply disturbances of CST, its key raw material
3. Delay in merger of Privi Fine Sciences Pvt Ltd
4. Forex risks (~70% of revenue comes from Exports)

Outlook & Valuation

We believe, PRIVISCL has a strong business model supported by complete backward integration in pine-based aroma chemical, efficiently using by-products to make value added products, strong R&D team, and strong customer profile. Diversification into value added products remains the key factor in margin expansion in the recent years and company continue to focus on adding new products range. The JV with Givaudan was recently commissioned along with merger of Privi Fine Sciences, improving product mix, operational efficiencies, and focusing on new product launch will drive growth in the future. **We expect Revenue/EBITDA/PAT to grow at 23%/22%/28% CAGR over FY25-FY28E.**

Experienced and qualified board

Name & Designation	Experience
Mr. Mahesh P Babani Chairman & Managing Director	Mr. Mahesh P Babani has been on the board of PRIVISCL since 1989. He is a Commerce Graduate with an operational and managerial experience of over 30 years. He is involved in formulation of long-term strategy, business development and financial management of the Company.
Mr. D.B. Rao Executive Director	Mr. D.B. Rao has been on the board of PRIVISCL since 1982. He is a postgraduate in Engineering with over 33 yrs of experience. He is involved in overseas operations, R&D, personnel and raw material sourcing.
Mr. Hemang Gandhi Non-Executive, Independent Director	Mr. Hemang Gandhi has over 30 years of exceptional leadership in financial services industry. He is a director and founding member of PINC, a prominent mid-market investment bank headquartered in Mumbai. His expertise spans diverse industries including engineering, logistics, travel and tourism, food processing, specialty chemicals, and media & entertainment.
Mr. Anurag Surana Non-Executive, Independent Director	Mr. Anurag Surana has over 2 decades of experience in chemical industry. He has brought to the board by providing inputs on manufacturing operations and management controls.
Mr. Naresh Tejwani Non-Executive, Independent Director	Mr. Naresh Tejwani is a Commerce Graduate and Obtained Law Degree from University of Mumbai with Specialization & Post Graduate Diploma in Securities Law from Government Law College. He has over four decades of experience and has led multiple delegations representing ANMI at prestigious global forums, including the Asia Securities Forum in Tokyo, the International Council of Securities Associations in Paris, and the International Forum for Investor Education in Washington.
Mrs. Priyamvada Bhumkar **Non-Executive, Independent Director**	Mrs. Priyamvada Bhumkar is a chemistry graduate and has an MBA in Finance. She is an alumnus of the Harvard Business School as well as the Stanford School of Business in USA. She is the Promoter and Managing Director of Soujanya Color Pvt. Ltd., a globally leading colorant manufacturing company based out of Navi Mumbai in Maharashtra.

Quarterly Performance

Rs Mn	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	YoY (%)	QoQ (%)	FY25	FY24	YoY %
Revenue	**4,640**	**5,328**	**4,909**	**6,136**	**5,588**	**20.4**	**(8.9)**	**21,012**	**17,522**	**19.9**
COGS	2,606	2,923	2,381	3,405	2,752	5.6	(19.2)	11,315	10,094	12.1
Gross Profit	**2,034**	**2,405**	**2,528**	**2,731**	**2,836**	**39.4**	**3.8**	**9,697**	**7,429**	**30.5**
Employee Expenses	202	208	220	235	274	35.9	16.4	865	727	18.9
as % of sales	***4.3%***	***3.9%***	***4.5%***	***3.8%***	***4.9%***			***4.1%***	***4.2%***	
Power and Fuel Expenses	350	411	382	389	389	11.2	(0.1)	1,533	1,383	10.9
as % of sales	***7.5%***	***7.7%***	***7.8%***	***6.3%***	***7.0%***			***7.3%***	***7.9%***	
Other Expenses	539	683	797	780	852	58.2	9.3	2,799	2,069	35.3
as % of sales	***11.6***	***12.8***	***16.2***	***12.7***	***15.3***			***13.3***	***11.8***	
EBITDA (Excl OI)	**944**	**1,102**	**1,128**	**1,326**	**1,321**	**39.9**	**(0.4)**	**4,500**	**3,250**	**38.5**
Depreciation & Amortization	(321)	(324)	(323)	(349)	(362)	12.7	3.7	(1,318)	(1,234)	6.8
Other Income	27	45	22	148	90	233.1	(39.3)	242	263	(8.1)
EBIT	**649**	**823**	**827**	**1,125**	**1,048**	**61.4**	**(6.8)**	**3,424**	**2,278**	**50.3**
Interest Expenses	220	215	218	226	237	7.5	4.8	879	979	(10.3)
PBT	**429**	**608**	**609**	**899**	**812**	**89.1**	**(9.7)**	**2,545**	**1,299**	**95.9**
Total Tax	(115)	(159)	(164)	(260)	(236)	106.0	(8.9)	(698)	(345)	102.4
Minority Interest	1	-	-	(25)	(44)	*na*	*na*			
Reported PAT	**314**	**448**	**445**	**665**	**619**	**97.4**	**(6.9)**	**1,848**	**954**	**93.6**
Reported EPS	**8.0**	**11.5**	**11.4**	**17.0**	**15.9**	**97.4**	**(6.9)**	**47.93**	**24.43**	**96.2**

Margins (%)						**(bps)**	**(bps)**			**(bps)**
Gross Margin	43.8	45.1	51.5	44.5	50.7	691	624	46.2	42.4	376
EBITDA	20.3	20.7	23.0	21.6	23.6	329	202	21.4	18.5	287
EBIT	14.0	15.4	16.8	18.3	18.8	476	43	16.3	13.0	329
EBT	9.3	11.4	12.4	14.7	14.5	528	-13	12.1	7.4	470
PAT	6.8	8.4	9.1	10.8	11.1	432	24	8.8	5.4	335
Effective Tax Rate	26.7	26.2	27.0	28.9	29.1	239	25	27.4	26.5	87

Source: Company, Sunidhi Research

Financial Performance Snapshot

Valuations & Ratios					(₹ Mn)
Year End-March	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**
Data Per Share					
EPS	24.3	47.9	57.7	75.0	101.4
CEPS	55.8	81.5	96.0	120.1	149.6
BVPS	240.7	285.9	338.6	408.5	504.8
DPS	-	2.0	5.0	5.0	5.0
Valuation (x)					
P/E	103.0	52.3	43.4	33.4	24.7
P/BV	10.4	8.8	7.4	6.1	5.0
EV/EBITDA	33.0	23.9	20.9	16.9	13.7
Dividend yield (%)	0.0%	0.1%	0.2%	0.2%	0.2%
EBIDTA Margin	18.5%	21.6%	20.0%	20.4%	20.9%
PAT Margin	5.3%	8.8%	8.4%	9.0%	10.0%
ROAE	10.7%	18.2%	18.5%	20.0%	22.2%
ROACE	16.7%	21.9%	21.4%	22.5%	24.7%
Leverage Ratios (x)					
Total D/E	1.0	1.0	1.0	0.9	0.8
Net Debt/Equity	1.0	1.0	1.0	0.9	0.8
Interest Coverage	0.4	0.3	0.2	0.2	0.2
Current ratio	1.3	1.2	1.3	1.4	1.5
Growth Ratios (%)					
Topline growth	9.0%	19.9%	26.9%	22.1%	20.7%
EBITDA growth	74.8%	39.6%	17.6%	24.6%	23.6%
PAT growth	327.2%	97.0%	20.6%	29.8%	35.2%
Turnover Ratios (x)					
F.A Turnover	1.8	1.9	2.0	2.0	2.3
Working Capital Days	209	193	190	167	185
Inventory Days	238	254	240	220	230
Debtors Days	72	68	70	72	75
Payable days	102	130	120	125	120

Profit & Loss Statement					(₹ Mn)
Year End-March	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**
Revenues	**17,522**	**21,012**	**26,657**	**32,559**	**39,290**
Op. Expenses	14,273	16,477	21,326	25,917	31,079
EBITDA	**3,250**	**4,535**	**5,331**	**6,642**	**8,212**
Other Income	263	206	150	150	150
Depreciation	1,234	1,318	1,498	1,768	1,891
EBIT	2,278	3,424	3,984	5,024	6,470
Interest	979	879	936	1,067	1,120
PBT	**1,299**	**2,545**	**3,048**	**3,957**	**5,351**
Tax	345	698	792	1,029	1,391
Reported PAT	**954**	**1,848**	**2,255**	**2,928**	**3,960**
Minority	5	(22)	-	-	-
Adj PAT	**949**	**1,870**	**2,255**	**2,928**	**3,960**
EPS	24.3	47.9	57.7	75.0	101.4

Balance Sheet					(₹ Mn)
Year End-March	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**
Equity and Liabilities					
Share Capital	391	391	391	391	391
Reserves and Surplus	9,021	10,789	12,849	15,581	19,346
Total Shareholders' funds	**9,411**	**11,179**	**13,239**	**15,972**	**19,736**
Long Term Borrowings	4,445	5,111	6,611	7,611	8,011
Provisions	191	245	245	245	245
Other Non-current Liabilities	417	336	336	336	336
Current Liabilities					
Short Term Borrowings	5,363	6,116	7,116	7,116	7,116
Trade Payables	2,825	4,023	4,820	6,077	6,975
Other CL/Short Term Prov.	772	896	896	896	896
Grand Total	**23,425**	**27,905**	**33,263**	**38,252**	**43,315**
Assets					
Non-Current Assets					
Fixed Assets	9,689	10,979	13,481	15,913	17,022
CWIP	887	1,275	1,275	1,275	1,275
RoU / IP / Intangible	756	720	720	720	720
Other Non-current Assets	675	1,299	1,299	1,299	1,299
Current Assets					
Inventories	6,594	7,884	9,640	10,696	13,369
Trade Receivables	3,475	3,941	5,112	6,423	8,073
Cash and Cash Equivalents	240	498	426	619	248
Bank Balances	48	4	4	4	4
Other Current Assets	1,062	1,305	1,305	1,305	1,305
Grand Total	**23,425**	**27,905**	**33,263**	**38,252**	**43,315**

Cash flow Statement					(₹ Mn)
Year End-March	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**
PBT	1,299	2,545	3,048	3,957	5,351
Depreciation	1,234	1,318	1,498	1,768	1,891
Interest (Net)	979	879	936	1,067	1,120
Others	(116)	162	(150)	(150)	(150)
OCF before Working Capital	**3,397**	**4,903**	**5,331**	**6,642**	**8,212**
Inc/dec in Working Capital	767	(564)	(2,129)	(1,109)	(3,426)
Inc/dec in other items	(359)	(822)	-	-	-
Taxes paid	(259)	(707)	792	1,029	1,391
Net CF From Operations	**3,545**	**2,811**	**3,995**	**6,562**	**6,177**
Capex	(1,505)	(2,991)	(4,000)	(4,200)	(3,000)
Others	(298)	52	150	150	150
CF from Investing Activities	**(1,803)**	**(2,940)**	**(3,850)**	**(4,050)**	**(2,850)**
Change in Borrowings	(789)	1,419	2,500	1,000	400
Interest Paid	(948)	(856)	(936)	(1067)	(1120)
Dividend	-	(78)	(195)	(195)	(195)
Others	30	(99)	-	-	-
CF from Fin Activities	**(1,706)**	**386**	**1,369**	**(262)**	**(915)**
Net inc /(dec) in cash	35	258	1,514	2,250	2,412
Opening Cash	204	240	498	426	619
Closing Cash	**240**	**498**	**426**	**619**	**248**

Source: Company, Sunidhi Research

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Analyst / Relative Ownership	No

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The price target for a large cap stock represents the value the analyst expects the stock to reach over next 12 months. For a stock to be classified as **Outperform,** the expected return must exceed the local risk-free return by at least 5% over the next 12 months. For a stock to be classified as **Underperform**, the stock return must be below the local risk-free return by at least 5% over the next 12 months. Stocks between these bands are classified as **Neutral.**

For Mid & Small cap stocks from 12 months perspective	
BUY	Absolute Return >20%
HOLD	Absolute Return Between 0-20%
SELL	Absolute Return Negative

Apart from Absolute returns our rating for a stock would also include subjective factors like macro environment, outlook of the industry in which the company is operating, growth expectations from the company vis a vis its peers, scope for P/E re-rating/de-rating for the broader market and the company in specific.

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